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What is the 1st thing that comes to mind when you hear the word *Negotiation*?

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Business Negotiation

VOCABULARY

Definition

- At its core, negotiation is nothing more than a dialogue between two or more parties working towards making an agreement, resolving a conflict, or reaching mutually beneficial goals.
- Negotiation is the simple process of explaining your needs, exploring options and reaching agreement in ways that make life more navigable.

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Business Vocabulary

Terms & Phrases

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Yield

To give in to another's requests.
Ex: The client will only yield to our conditions, if we agree to work over the holiday weekend.

Concession

A thing that is granted or accepted.
Ex: I think we can offer all of these concessions, but not all at once.

Amplify

Expand; Give more information.
Ex: Could you amplify on your proposal please?

Arbitration

Conflict that is addressed by using a neutral third party.
Ex: We are better to settle this between us, a formal arbitration will cost both of us money.

Deadlock

The Point where neither party will give.

Ex: When the discussions came to a deadlock we wrote up a letter of intent to continue the negotiations next week.

Haggling

Arguing back and forth.

Ex: We've been haggling over this issue for too long now.

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Consensus

Agreement by all.
Ex: It would be great if we could come to a consensus by 5PM

Counter Proposal

The offer/ Request which is presented Second in response to the first proposal.
Ex: In their Counter proposal they suggested that we keep their company name rather than creating a new one

Counterattack

Present other side of an issue.

Ex: Before we could start our counterattack they suggested we sign a contract.

Counterpart

Person on the other side of the negotiations.

Ex: I tried to close the discussions at noon, but my counterpart would not stop talking.

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5 Negotiation styles

Negotiators have a tendency to negotiate from one of the five styles: Competing, accommodating, avoiding , compromising or collaborative

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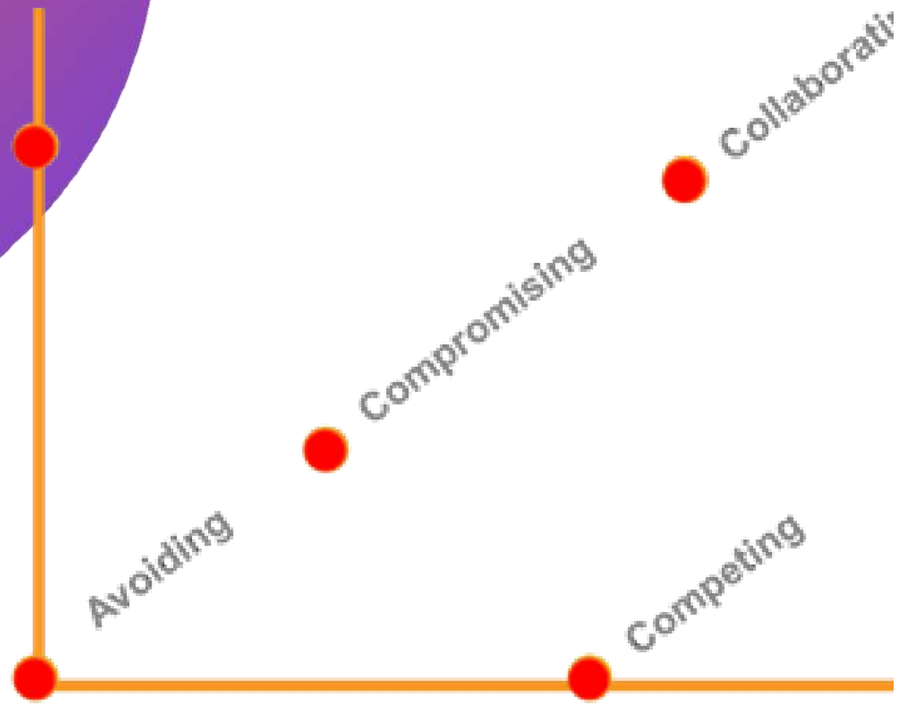
Competing (Iwin- You Lose)

negotiators that exhibit this style are assertive, self-confident and focused on the deal and results.
Competing negotiators tend to be more focused on the substance than the relationship.



SUBSTANCE

Avoiding (Ilose- You Lose)

Negotiators that exhibit this style are generally less assertive and apprehensive. They prefer to avoid stepping into or creating tension. They stay neutral, objective or removed from the situation or leave responsibility to their counterpart.

Accommodating (Ilose- You Win)

Negotiators that show this style tend to smooth over tensions, minimize differences, and are most concerned with maintaining a good rapport and satisfying the needs of the other party.
This style is lower in assertiveness and higher in cooperativeness.

Compromising (I win/lose some- You win/lose some)

Negotiators that exhibit this style often split the difference, exchange concessions, and seek a quick middle-ground solution, which tends to end in moderate satisfaction of both parties' needs.

collaborating (Iwin- You Win)

Negotiators that use this style are often honest and communicative. They focus on finding novel and creative solutions that fully satisfy the concerns of all parties, and suggest many ideas for consideration before deciding.
This style is high in assertiveness and in cooperativeness, promoting both the relationship and the substance of the agreement at hand as very important.

Negotiation tactics

Here are **5 essential negotiation tactics** that can help you achieve successful outcomes:

Anchoring

- **Start with the first offer: Setting an initial offer, whether high or low, can anchor the negotiation around that number. It gives you control of the negotiation's reference point.**

- **Tactic : Propose a figure slightly higher than your target if you're selling, or lower if you're buying, so you have room to adjust and make concessions.**

Active Listening

- **Listen to understand:** Pay attention to the other party's needs and concerns. This helps build rapport and allows you to identify their priorities.

- **Tactic:** Ask open-ended questions and listen carefully to detect underlying issues, which can be used to create solutions that benefit both parties

Making Concessions

- **Negotiate give-and- take:** Offering concessions shows flexibility and invites reciprocity. However, make concessions gradually rather than all at once.

- **Tactic:** Frame your concessions as valuable, so when you give something, you expect something of equal or greater value in return.

Using Time to your Advantage

- **Leverage deadlines**: If you can control the timeline, you can use it as a tool. Pressure from time constraints often leads to faster decision-making.

- **Tactic**: Impose time limits to encourage action or stall for more time if the pressure is on you. Deadlines can be a powerful motivator.

The ‘Walk Away’ Option

- **Be willing to walk away**: Having the option to walk away from the deal gives you significant leverage. If the deal isn't favorable, don't hesitate to leave.
- **Tactic:** Set your limits before the negotiation and stick to them. Being prepared to walk away increases your negotiating power and can force the other party to reconsider their offer.

Five Negotiation Pitfalls to avoid

Lack of preparation

- The failure of making proper preparation can give rise to lots of misunderstanding and missed opportunities.
- Before you walk into any negotiations make sure that you do your homework which includes analyzing the other party’s needs, interests, and history.

Poor listening skills

- Failure to actively engage in listening to the other party may lead to miscommunication and lost insights.
- Make it a point to clearly understand their side and any possible concerns in order to enhance their contribution in the interaction.

Being too Rigid

- Sticking too strictly to your initial demands can hinder the negotiation process.
- Be open to flexibility and willing to explore alternative solutions that may satisfy both parties.

Emotional Reactions

- Allowing emotions to override rational thinking can cloud judgment and lead to impulsive decisions.
- Maintain a level-headed approach to stay focused on the negotiation goals.

Neglecting the Relationship

- Viewing negotiations solely as transactional can damage relationships.
- Aim to build rapport and trust, as nurturing long-term connections can lead to future collaborations and better deals.